

chapter **1** Financial Statements
and Business Decisions

Financial Accounting

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Libby • Libby • Hodge

Learning Objectives

After studying this chapter, you should be able to:

- 1-1** Recognize the information conveyed in each of the four basic financial statements and the way that it is used by different decision makers (investors, creditors, and managers).
- 1-2** Identify the role of generally accepted accounting principles (GAAP) in determining financial statement content and managers', directors', and auditors' responsibilities for ensuring the accuracy of the financial statements.

Understanding the Business

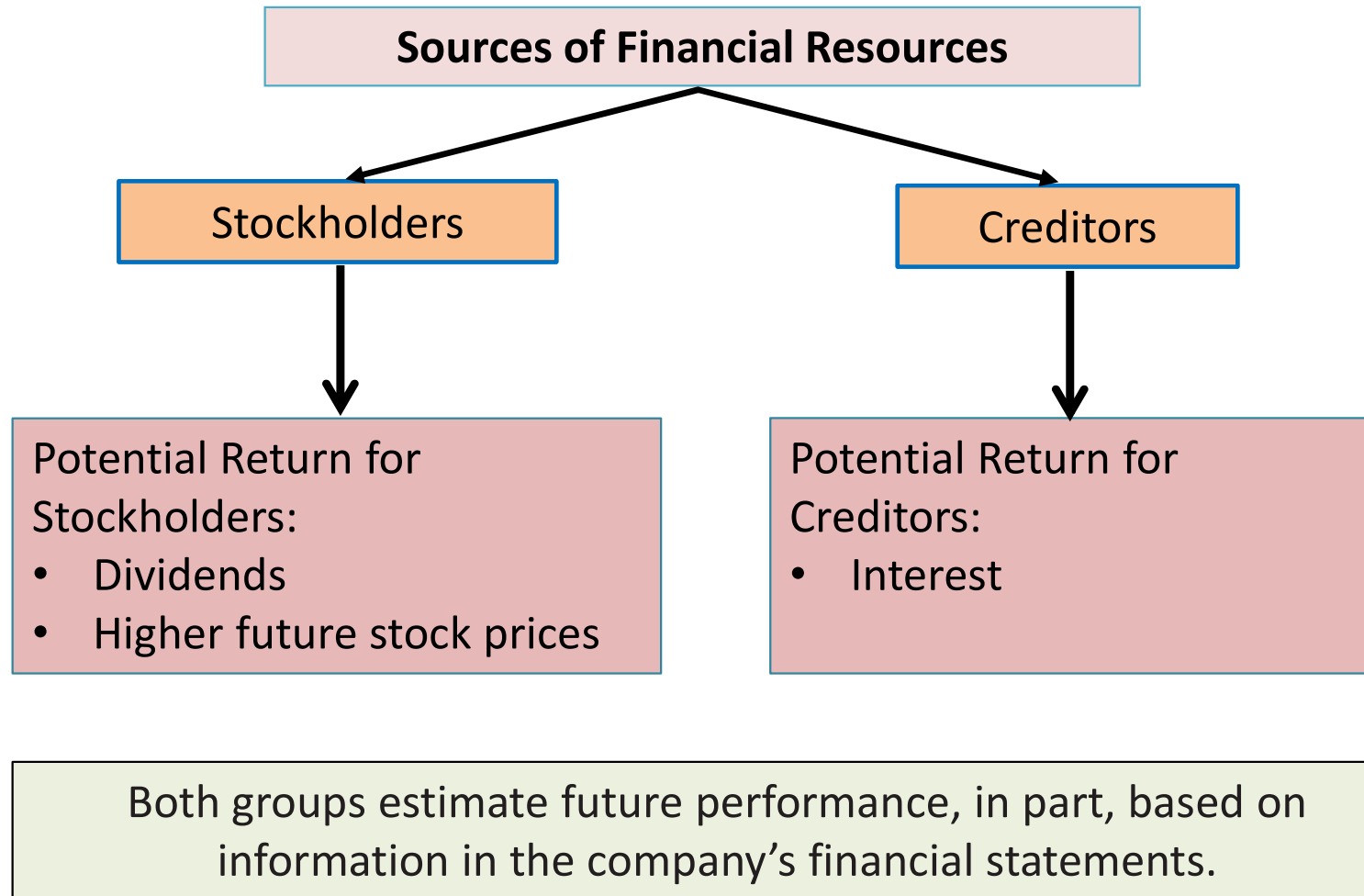
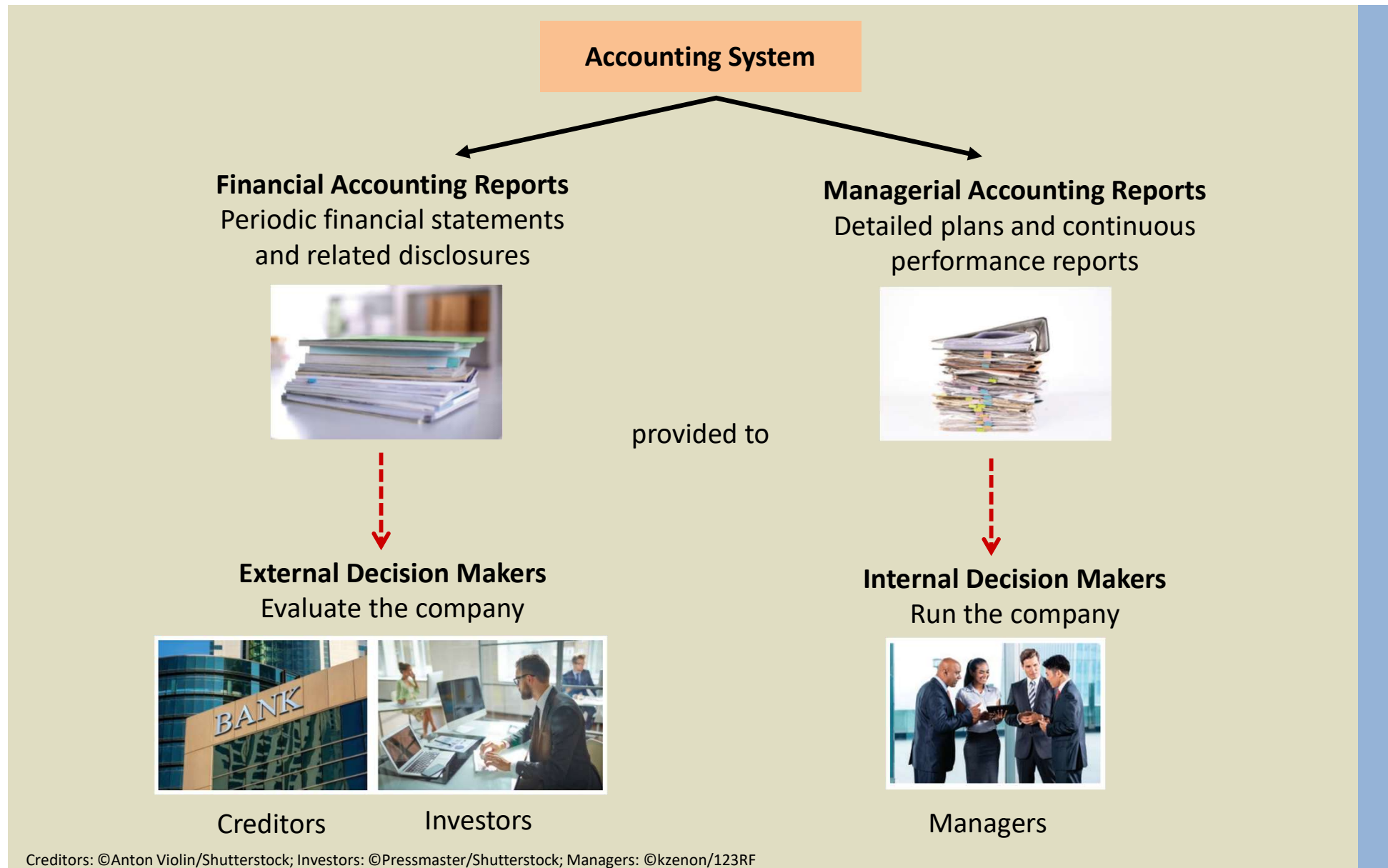
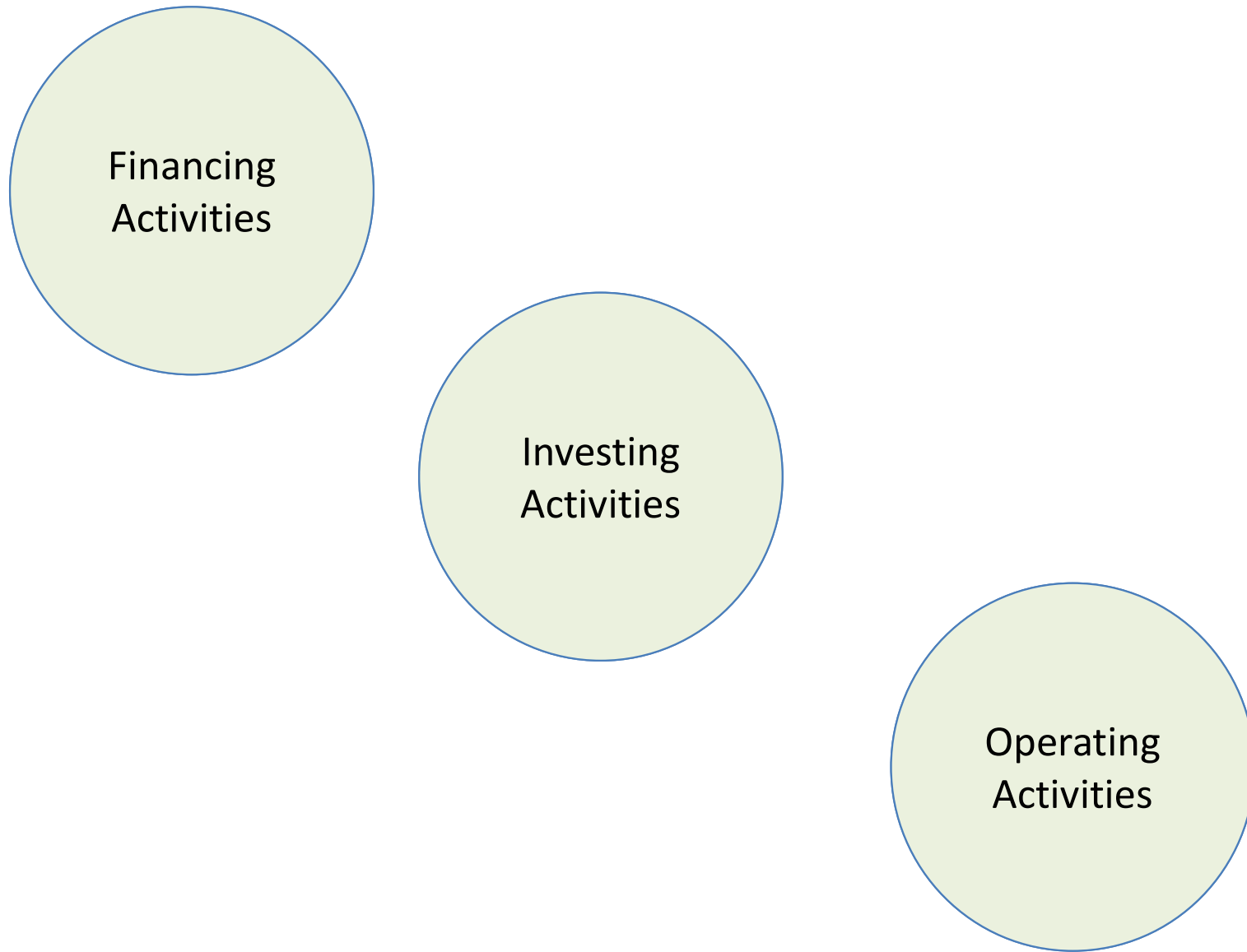


Exhibit 1.1

The Accounting System and Decision Makers



Business Activities



Why Study Financial Accounting?

Decision makers rely on financial information:

- Investors
- Creditors
- Managers within the firm such as:
 - Marketing managers
 - Credit managers
 - Supply chain managers
 - Human resource managers

Your Goals for Chapter 1

Focus your attention on learning the:

- **Content:** the categories, or **elements**, reported on each of the four statements.
- **Structure:** the **equation** that shows how the elements within the statement are organized and related.
- **Use:** how the information is **used** by stockholders and creditors to make investment and lending decisions.

Note: Rather than trying to memorize the definitions of every term used in this chapter, try to focus your attention on learning the general content, structure, and use of the statements.

Learning Objective 1-1

- 1-1** Recognize the information conveyed in each of the four basic financial statements and the way that it is used by different decision makers (investors, creditors, and managers).

The Four Basic Financial Statements: An Overview

BALANCE SHEET – reports the financial position of an entity at a point in time (assets, liabilities, and stockholders' equity).

INCOME STATEMENT – reports the revenues less the expenses during the accounting period.

STATEMENT OF STOCKHOLDERS' EQUITY – reports the changes in each of the company's stockholders' equity accounts, including the change in the retained earnings balance caused by net income and dividends, during the reporting period.

STATEMENT OF CASH FLOWS – reports inflows and outflows of cash during the accounting period in the categories of operating, investing, and financing.

The notes are an integral part of these financial statements.

Financial Statement Time Period & Structure

The four basic financial statements can be prepared at any point in time such as:

- **End of the year** (for the year ended, annual reports)
- **Quarterly** (for the quarter ended, quarterly reports)
- **Monthly** (for the month ended, monthly reports)

The financial statement heading includes:

- **Name of the entity** (Company name)
- **Title of the statement** (e.g., Balance Sheet)
- **Specific date of the statement** (e.g., At December 31, 2020)
- **Unit of measure** (in millions of dollars)

The Balance Sheet

The purpose of the **balance sheet (statement of financial position)** is to report the financial position (amount of assets, liabilities, and stockholders' equity) of an accounting entity at a particular point in time.

Assets

Cash
Short-Term Investments
Accounts Receivable
Notes Receivable
Inventories
Supplies
Prepaid Expenses
Long-Term Investments
Equipment
Buildings
Land
Intangibles

Liabilities

Accounts Payable
Accrued Expenses
Notes Payable
Taxes Payable
Unearned Revenue
Bonds Payable

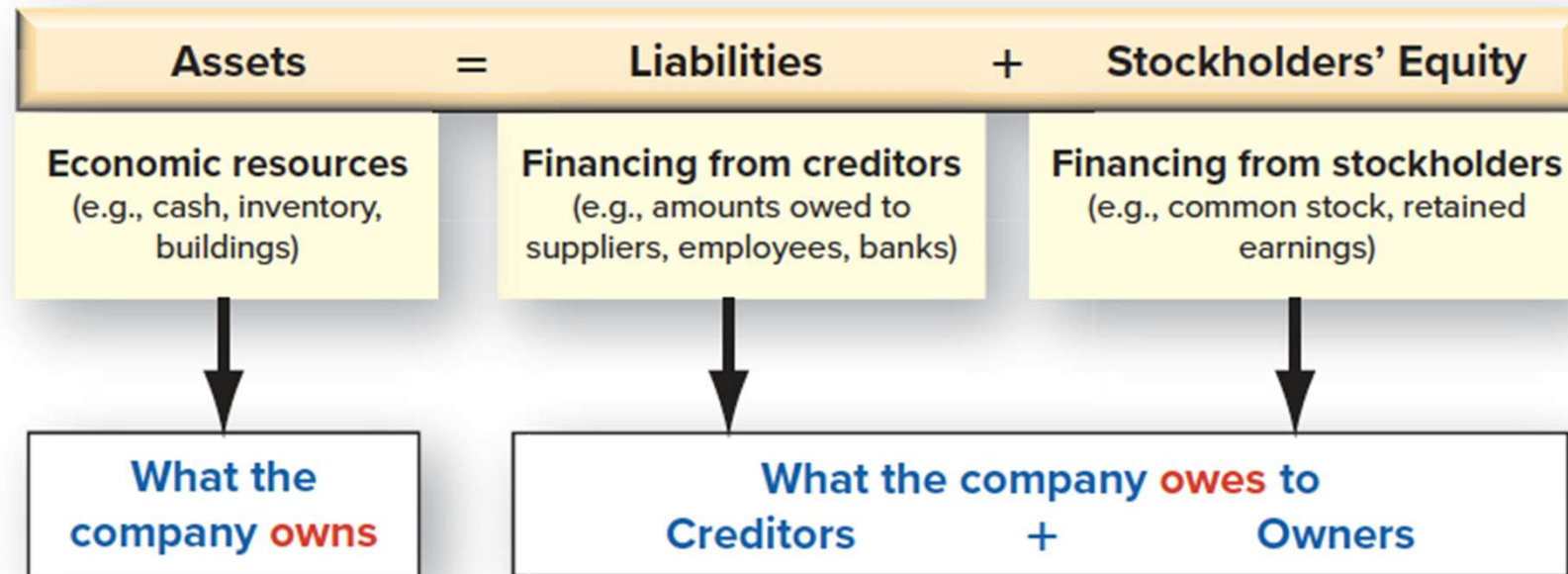
Stockholders' Equity

Common Stock
Retained Earnings

Exhibit 1.2 Balance Sheet

LE-NATURE'S INC.		EXPLANATION
Balance Sheet		<i>Name of the entity</i>
At December 31, 2023 ¹		<i>Title of the statement</i>
(in millions of dollars)		<i>Specific date of the statement</i>
		<i>Unit of measure</i>
Assets:		<i>Resources controlled by the company</i>
Cash	\$ 10.6	<i>Amount of cash in the company's bank accounts</i>
Accounts receivable	6.6	<i>Amounts owed by customers from prior sales</i>
Inventories	51.2	<i>Ingredients and beverages ready for sale</i>
Property, plant, and equipment	459.0	<i>Factories, production equipment, and land</i>
Total assets	<u>\$527.4</u>	<i>Total amount of company's resources</i>
Liabilities and stockholders' equity:		<i>Sources of financing for company's resources</i>
Liabilities		<i>Financing supplied by creditors</i>
Accounts payable	\$ 26.0	<i>Amounts owed to suppliers for prior purchases</i>
Notes payable to banks	381.7	<i>Amounts owed to banks on written debt contracts</i>
Total liabilities	<u>407.7</u>	
Stockholders' equity		<i>Financing provided by stockholders</i>
Common stock	55.7	<i>Amounts invested in the business by stockholders</i>
Retained earnings	64.0	<i>Past earnings not distributed to stockholders</i>
Total stockholders' equity	<u>119.7</u>	
Total liabilities and stockholders' equity	<u>\$527.4</u>	<i>Total sources of financing for company's resources</i>
The notes are an integral part of these financial statements.		

The Basic Accounting Equation



*The basic accounting equation refers to a company's **financial position**: the **economic resources** that the company owns and the **sources of financing** for those resources.*

Interpreting Assets, Liabilities, and Stockholders' Equity on the Balance Sheet

FINANCIAL ANALYSIS



- Creditors and shareholders analyze **assets** to determine if the company has sufficient resources available to operate. *Assets can be sold for cash if the company goes out of business.*
- Creditors and shareholders are concerned about whether the company has sufficient sources of cash to pay its **liabilities (debts)**. *If a company does not pay its creditors, the creditors can force the sale of assets.*
- **Stockholders' Equity** is considered a protective “cushion” to creditors because the creditors’ claims legally come before those of the owners. *If the company goes out of business and its assets are sold, the creditors are paid back before the shareholders receive any money.*

Income Statement

The **income statement** (**statement of income, statement of earnings, statement of operations**) reports the primary measure of performance of a business: revenues less expenses during the accounting period.

While the term profit is used widely, accountants prefer to use the technical terms **net income** or net earnings.

Revenues

Cash and promises received from delivery of goods and services.

Examples:

Sales Revenue
Service Revenue
Rental Revenue
Interest Revenue

Expenses

Resources used to earn period's revenues.

Examples:

Cost of Goods Sold
Wages Expense
Rent Expense
Depreciation Expense
Insurance Expense
Repair Expense
Income Tax Expense

The Income Statement Equation

$$\text{Revenues} - \text{Expenses} = \text{Net Income}$$



Resources earned
from delivery of
goods and
services



Resources
used
(incurred) to
earn period's
revenue



Revenues earned
minus expenses
incurred.

*Also called "profit",
"net earnings", or
"the bottom line."*

If total expenses exceed total revenues, a net loss is reported.

Exhibit 1.3 Income Statement

LE-NATURE'S INC. Income Statement For the Year Ended December 31, 2023 (in millions of dollars)		EXPLANATION <i>Name of the entity</i> <i>Title of the statement</i> <i>Accounting period</i> <i>Unit of measure</i>
Revenues		
Sales revenue	\$ 275.1	<i>Cash and promises received from sale of beverages</i>
Expenses		
Cost of goods sold	140.8	<i>Cost to produce beverages sold</i>
Selling, general, and administrative expenses	77.1	<i>Other operating expenses (utilities, delivery costs, etc.)</i>
Interest expense	17.2	<i>Cost of using borrowed funds</i>
Income before income taxes	40.0	<i>Revenues earned minus expenses except for income taxes</i>
Income tax expense	17.1	
Net income	<u><u>\$ 22.9</u></u>	<i>Income taxes on period's income before income taxes</i> <i>Revenues earned minus expenses incurred</i>
The notes are an integral part of these financial statements.		

³Comprehensive income is sometimes presented in a separate statement titled Statement of Comprehensive Income, but may be part of the Income Statement. This advanced topic is discussed in Chapter 5.

Interpreting the Income Statement

FINANCIAL ANALYSIS



- Investors and creditors closely monitor a firm's net income because it indicates the firm's ability to sell goods and services for more than they cost to produce and deliver.
- Investors buy stock when they believe that future earnings will improve and lead to dividends and the ability to sell their stock for more than they paid.
- Lenders rely on future earnings to provide the resources to repay loans. The income statement helps investors and creditors estimate the company's future earnings.

Statement of Stockholders' Equity

The **Statement of Stockholders' Equity** reports the change in each stockholders' equity account during the period.

Statement of Stockholders' Equity

Beginning balance
+ Increases
– Decreases

Ending balance

Tip

Dividends are not an expense but a distribution of income

Common Stock

Amounts invested in the business by stockholders.

Beginning Common Stock
+ *Stock Issuance*

Ending Common Stock

Retained Earnings

Past earnings not distributed to stockholders.

Beginning Retained Earnings
+ *Net Income*
– *Dividends*

Ending Retained Earnings

Exhibit 1.4 Statement of Stockholders' Equity

LE-NATURE'S INC.

Statement of Stockholders' Equity
For the Year Ended December 31, 2023
(in millions of dollars)

EXPLANATION

Name of the entity

Title of the statement

Accounting period

Unit of measure

	Common Stock	Retained Earnings
Balance December 31, 2022	\$55.7	\$43.1
Net income for 2023		22.9
Dividends for 2023		(2.0)
Balance December 31, 2023	<u>\$55.7</u>	<u>\$64.0</u>

Last period's ending balances

Net income reported on the income statement

Dividends declared during the period

Ending balances on the balance sheet

The notes are an integral part of these financial statements.

Interpreting Retained Earnings

FINANCIAL ANALYSIS



- Reinvestment of earnings, or retained earnings, is an important source of financing for companies.
- Creditors closely monitor a firm's statement of stockholders' equity because the company's policy on dividend payments affects its ability to repay its debts.
 - *Every dollar the company pays to stockholders as a dividend is not available for use in paying back its debt.*
- Investors examine retained earnings to determine whether the company is reinvesting a sufficient portion of earnings to support future growth.

Exhibit 1.5

Relationship Among LeNature's Statements

Income Statement (in millions)		Statement of Stockholders' Equity (in millions)			Balance Sheet (in millions)		
Revenues	\$275.1		Common Stock	Retained Earnings	Cash	\$ 10.6	
— Expenses	252.2				Other Assets	516.8	
Net Income	\$ 22.9	1	Beginning	\$55.7	\$43.1	Total Assets	\$527.4
			+ Net Income		22.9	Liabilities	\$407.7
			— Dividends		(2.0)	Common Stock	55.7
			Ending	\$55.7	\$64.0	Retained Earnings	64.0
						Total Liabilities and Stockholders' Equity	\$527.4

Statement of Cash Flows (1 of 2)

+/- Cash Flows from Operating Activities (CFO)

+/- Cash Flows from Investing Activities (CFI)

+/- Cash Flows from Financing Activities (CFF)

Change in Cash

+ Beginning Cash Balance

Ending Cash Balance

Statement of Cash Flows

+/-CFO

+/-CFI

+/-CFF

Change in Cash



Note that each of the three cash flow sources can be **positive** (net cash inflow) or **negative** (net cash outflow)

Statement of Cash Flows (2 of 2)

Cash Flows from Operating Activities

Cash flows directly related to earning income, such as cash collected from customers less cash paid for operating expenses, such as cash paid to suppliers and employees.

Cash Flows from Investing Activities

Cash flows related to acquisition or sale of the company's plant and equipment and investments.

Cash Flows from Financing Activities

Cash flows directly related to the financing of the enterprise, such as the receipt or payment of money to investors and creditors (except suppliers)

The Statement of Cash Flows reports inflows and outflows of cash during the accounting period.

Elements of the
Statement of
Cash Flows

Exhibit 1.6 Statement of Cash Flows

LE-NATURE'S INC. Statement of Cash Flows (Summary) For the Year Ended December 31, 2023 (in millions of dollars)	EXPLANATION <i>Name of the entity</i> <i>Title of the statement</i> <i>Accounting period</i> <i>Unit of measure</i>
Cash flows from operating activities \$ 87.5	<i>Cash flows directly related to earning income</i>
Cash flows from investing activities (125.5)	<i>Cash flows from purchase/sale of plant, equipment, and investments</i>
Cash flows from financing activities 47.0	<i>Cash flows from investors and creditors</i>
Net increase (decrease) in cash 9.0	<i>Change in cash during the period</i>
Cash balance December 31, 2022 1.6	<i>Last period's cash on the balance sheet</i>
Cash balance December 31, 2023 \$ 10.6	<i>Ending cash on the balance sheet</i>
The notes are an integral part of these financial statements.	

Interpreting the Cash Flow Statement

FINANCIAL ANALYSIS

Analyze operating cash flow to check the company's

- ✓ Pay back bank debt
- ✓ Expand the company
- ✓ Distribute cash dividends to shareholders

The Operating Activities section is thought to be the most important because it indicates the company's ability to generate cash from its operations to meet its current cash needs.

Notes (or Footnotes)

“The notes are an integral part of these financial statements.”

Did you notice this sentence at the bottom of each financial statement?

All financial statements should be accompanied by notes that provide the reader with supplemental information to help the reader better understand the financial statements.

Financial Statement Formatting Conventions

Include the monetary unit sign (\$) beside the first dollar amount in a group of items and by group total

Assets are listed on the balance sheet by ease of conversion to cash.

Liabilities are listed by the maturity (due date).

Place a single underline below the last item in a group before a total or subtotal, and a double underline below the group totals.

LE-NATURE'S INC.	
Balance Sheet	
At December 31, 2023¹	
(in millions of dollars)	
Assets:	
Cash	\$ 10.6
Accounts receivable	6.6
Inventories	51.2
Property, plant, and equipment	459.0
Total assets	<u><u>\$527.4</u></u>
Liabilities and stockholders' equity:	
Liabilities	
Accounts payable	\$ 26.0
Notes payable to banks	381.7
Total liabilities	<u>407.7</u>
Stockholders' equity	
Common stock	55.7
Retained earnings	64.0
Total stockholders' equity	<u>119.7</u>
Total liabilities and stockholders' equity	<u><u>\$527.4</u></u>
The notes are an integral part of these financial statements.	

Exhibit 1.7

Summary of the Four Basic Financial Statements

Financial Statement	Purpose	Structure	Examples of Content
Balance Sheet (Statement of Financial Position)	Reports the financial position (economic resources and sources of financing) of an accounting entity <i>at a point in time</i> .	Balance Sheet $\begin{array}{r} \text{Assets} \\ = \\ \text{Liabilities} \\ + \\ \text{Stockholders' Equity} \end{array}$	Cash, accounts receivable, plant and equipment, long-term debt, common stock
Income Statement (Statement of Income, Statement of Earnings, and Statement of Operations)	Reports economic performance (resources earned less resources used from delivery of goods and services) <i>during the accounting period</i> .	Income Statement $\begin{array}{r} \text{Revenues} \\ - \text{Expenses} \\ \hline \text{Net Income} \end{array}$	Sales revenue, cost of goods sold, selling expense, interest expense
Statement of Stockholders' Equity (Statement of Shareholders' Equity)	Reports changes in the company's common stock and retained earnings <i>during the accounting period</i> .	Statement of Stockholders' Equity $\begin{array}{r} \text{Beginning balance} \\ + \text{Increases} \\ - \text{Decreases} \\ \hline \text{Ending balances} \end{array}$	Beginning and ending stockholders' equity balances, stock issuances, net income, dividends
Statement of Cash Flows (Cash Flow Statement)	Reports cash inflows (receipts) and outflows (payments) <i>during the accounting period</i> in the categories operating, investing, and financing.	Statement of Cash Flows $\begin{array}{r} +/- \text{CFO} \\ +/- \text{CFI} \\ +/- \text{CFF} \\ \hline \text{Change in Cash} \end{array}$	Cash collected from customers, cash paid to suppliers, cash paid to purchase equipment, cash borrowed from banks

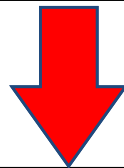
Learning Objective 1-2

- 1-2** Identify the role of generally accepted accounting principles (GAAP) in determining financial statement content and managers', directors', and auditors' responsibilities for ensuring the accuracy of the financial statements.

The rules that determine the content and measurement rules of the statements are called generally accepted accounting principles, or GAAP.

How are GAAP Principles Determined?

Congress created the Securities and Exchange Commission (SEC) and gave it broad powers to determine measurement rules for financial statements for publicly traded companies.



The SEC has worked closely with accountants and other interested parties to work out the detailed rules that become GAAP principles.

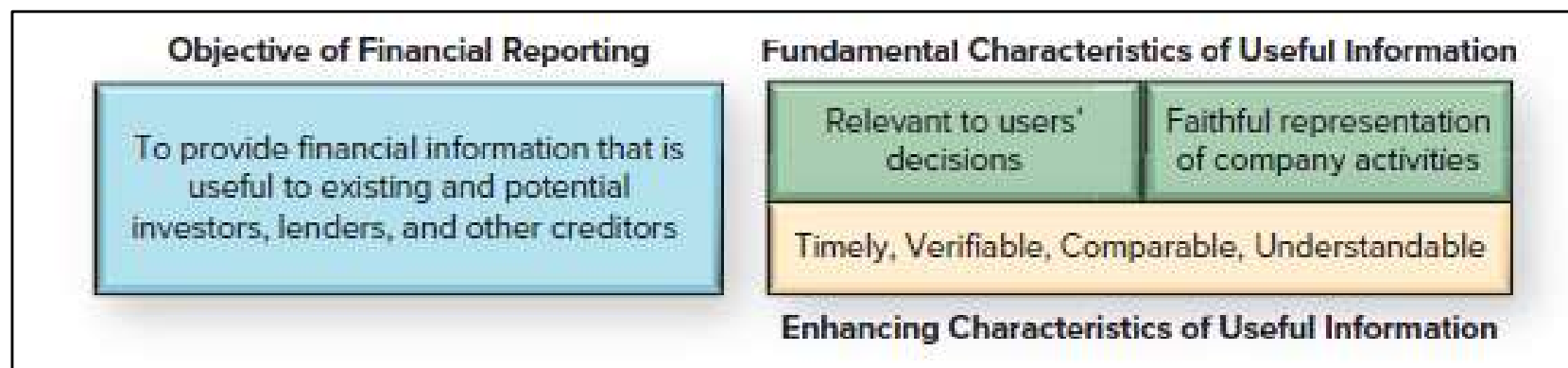


Today, the Financial Accounting Standards Board (FASB) has the responsibility to formulate GAAP. The official pronouncements of the FASB are called the FASB Accounting Standards Codification.

What Concepts Guide the Setting of Accounting Standards?

The FASB relies on a **conceptual framework** to provide a structure for developing specific accounting standards.

Exhibit 1.8 Conceptual Framework for Financial Reporting



Why GAAP Important to Managers and External Users

Companies bear the cost of preparing the financial statements and bear the major economic consequences of their public accounting. These include:

- Effects on the selling price of a company's stock.
- Effects on the amount of money raised by management and other external sources.
- Loss of competitive information for other companies.

Because of the public's concerns, changes in GAAP are actively debated. Political lobbying often takes place and final rules are a compromise among the wishes of interested parties.



Financial accounting standards and disclosure requirements are adopted by national regulatory agencies.

Since 2002, 147 jurisdictions have adopted **International Financial Reporting Standards (IFRS)** issued by the **International Accounting Standards Board (IASB)**.

Examples of jurisdictions requiring the use of IFRS:

- European Union (Germany, France, the Netherlands, Belgium, Bulgaria, Poland, etc.) and United Kingdom
- Australia and New Zealand
- Hong Kong (S.A.R. of China), Malaysia, and Republic of Korea
- Israel and Turkey
- Brazil and Chile
- Canada and Mexico

In the U.S., the SEC now allows foreign companies whose stock is traded in the United States to use IFRS.

What if the Numbers Are Wrong? (1 of 2)

Shortly after the issuance of the Le-Nature's financial statements presented in this chapter (remember, it happened in 2005, not 2023), borrowed money from various lenders.

- Le-Nature's financial statements presented a picture of a successful company.
- Reported revenue increased from \$40 to \$275 million (an increase of 600 percent) in just six years!
- Reported net income increased 400 percent in the same period!
- Clearly, Le-Nature's looked like a successful and profitable company.

The truth about Le-Nature's was revealed when several non-family-member stockholders suspected that all was not as it seemed and filed a lawsuit.

- Reported annual sales of \$275 million were actually about \$32 million.
- Gregory Podlucky and his conspirators falsified checks, invoices, and revenue and expense records to artificially overstate revenue and profits.
- The \$10.6 million in the balance sheet turned out to be \$1.8 million. The balance sheet understated liabilities by \$200 million.
- The company was never a real success—it was all fake. Podlucky was borrowing money from the company and using it to pay off his earlier creditors (this is called a Ponzi scheme). At the same time, he was stealing cash to live a lavish lifestyle.

What if the Numbers Are Wrong? (2 of 2)

Consequences of the Le-Nature's Case:

- Podlask and his seven co-conspirators were sentenced to a total of **3 years in federal prison**.
- The auditors who covered the fraud agreed to pay \$50 million to the creditors.
- Wachovia Capital Markets, which marketed the loan, agreed to pay \$80 million.
- Little besides the jewelry and real estate were left to satisfy Le-Nature's over \$800 million in debts.
 - Nonfamily stockholders lost their money.
 - Over 240 plant workers lost their jobs and the town of Latrobe, Pennsylvania suffered a severe economic blow!

Ethical Conduct

Ethical standards of conduct for judging right from wrong, honest from dishonest and fair from unfair.

Intentional misstatement of financial statements is unethical and illegal. However, situations are less clear-cut and require individuals to weigh competing principles (e.g., honesty against another (e.g., loyalty to a friend,

Three-Step Process for Making Ethical Decisions

1. Identify the benefits of a decision (to the manager or employee involved) and the costs (to other employees, owners, creditors, and the environment).
2. Identify all possible courses of action.
3. Choose the one you would like your family and friends to see you on your local news. That is usually the ethical choice.

Responsibility and the Need for Controls

Companies should take three important steps to assure investors that the company's records are accurate:

- 1. Maintain a system of internal controls over the records and assets of the company.**
- 2. Hire external independent auditors to audit the fairness of the financial statements.**
- 3. Form a committee of the board of directors to oversee the integrity of these other safeguards.**

Three steps to ensure the accuracy of records:

System of Controls



External Auditors



Board of Directors



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Supplement A: Types of Business Entities

Sole Proprietorship: unincorporated business owned by a single individual

Partnership: unincorporated business owned by two or more individuals

Corporation: business incorporated under the laws of a particular state. Owners are called stockholders or shareholders. Ownership is represented by shares of stock that can be bought and sold freely and operates separately from its owners.

Advantages of a Corporation

- Stockholders have limited liability (they are only liable for debts to the extent of their investments).
- Continuity of life of the company.
- Ease in transferring ownership.
- Opportunity to raise large amounts of money by selling shares of stock to a large number of people.

Disadvantages of a Corporation

- Maybe subject to double taxation (income taxed when earned and again when distributed to stockholders as dividends)

- Stockholders elect the board of directors who hire managers and supervise the corporation.
- Limited liability companies (LLCs) and limited liability partnerships (LLPs) have many characteristics similar to corporations.

Supplement B: Employment in the Accounting Profession Today

Practice of Public Accounting

- Audit or Assurance Services
- Management consulting or advisory services
- Tax planning, consulting, and preparation services
- Licensed CPAs (certified public accountant) are licensed by each state. The requirements vary by state but usually require a college degree, 150 credit hours, good character, professional experience, and successful completion of the CPA professional exam.

Accountants are also employed by various organizations including:

- Businesses: Management, cost accounting, profit planning, information systems management, internal auditing, external reporting, tax planning, and more.
- Not-for-Profit hospitals and universities
- Government agencies such as the SEC, GAO, and FCC